



Initial Post

by [Ali Alzahmi](#) - Tuesday, 13 May 2025, 8:40 AM

Banking digitalization pressured by Industry 4.0 has revolutionized customer interactions using mobile banking, online services, AI-supported communication, and automatic transactions. These enhancements have enhanced convenience, reduced operations costs, and enhanced service availability. However, such a rapid switch to digital platforms introduces a vast set of risks when systems go down, particularly, lacking proper backup and governance mechanisms (Metcalf, 2024). One such failure is the 2018 IT system failure in the UK at TSB Bank. The transition went horribly awry on an otherwise standard firm migration to a new core banking platform. Millions of customers were locked out of their accounts for so long, and could not access balances, transactions, or cash (Mehdiabadi et al., 2022). Tragically, some users indicated they could view other people's private banking information, dredging up legitimate privacy and data protection issues.

Moreover, the consequences of this failure were broad. TSB suffered economic losses running into hundreds of millions as compensation payments, system recovery, and regulatory penalties. However, more damaging, as far as reputation was concerned, was the reputational impact. As a result of public backlash, public confidence in the customers diminished significantly, with resignations of leaders a foregone conclusion (Nicoletti, 2021). The bank's image as a viable financial establishment was severely eroded. This case is a vivid example of how risky digital transformation is if it goes without effective operational resilience. Although deploying Industry 4.0 tools is transformative, it should encompass rigorous testing, employee readiness, and customer communications strategies (Rawat et al., 2023). System migrations or upgrades should be thoroughly planned and carried out with fail-safes, particularly in customer-facing systems.

The organisation must realise that technology is never a solution. Digital Sustainable transformation needs to be effective, but the approach needs to be balanced, where stability, human oversight, and customer experience are valued alongside innovation (Alojaiman, 2023). In the financial industry, where trust is crucial, digital system reliability and robustness must continue to be a key strategic priority to defend both consumers and the institution from digital failure.

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